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AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- Global markets paused during the week as investors reassessed the sustainability of the recent risk rally amid renewed tariff concerns, persistent geopolitical uncertainty in the Middle East and growing signs that positioning across US equities had become increasingly stretched. While underlying economic fundamentals remained resilient, markets adopted a more cautious tone ahead of key US labour market and inflation data that could shape the trajectory of monetary policy over the coming months.
- Despite the softer market performance, economic data continued to point to underlying resilience. US manufacturing activity strengthened further, labour market indicators remained firm and corporate earnings expectations continued to improve, particularly across technology and AI-linked sectors. However, investors became increasingly mindful that the strong gains recorded since the March lows have left valuations and positioning elevated, raising the risk of short-term profit-taking even as the broader growth outlook remains constructive.
- Meanwhile, policy expectations moved back into focus. Inflation in the Euro Area accelerated to 3.2% in May, reinforcing expectations of an ECB rate increase, while several major central banks maintained a cautious and hawkish tone amid lingering energy-related inflation risks. At the same time, markets continued to monitor developments surrounding US-Iran negotiations, with investors weighing the possibility of further de-escalation against the risk of renewed disruptions to global energy supply chains.
- As a result, markets entered a period of consolidation after reaching record highs in recent weeks. While enthusiasm around artificial intelligence and strong earnings growth continues to provide a supportive backdrop for risk assets, investors appear increasingly focused on whether economic data can justify current valuations amid rising geopolitical and policy uncertainty.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,384	7,580	▼ (2.6%)
DAX	24,759	25,105	▼ (1.4%)
Nikkei 225	66,588	66,928	▼ (0.5%)
Hang Seng	24,962	25,417	▼ (1.8%)
FTSE 100 (FTSE)	10,368	10,409	▼ (0.4%)
Dow Jones	50,867	51,032	▼ (0.3%)
Median			**▼ (0.9%)**

Source: Investing.com AIB AXYS Research

- Global equity markets retreated during the week, with the median return across major indices declining 0.9%, as investors locked in profits following the strong rally seen in recent months and adopted a more cautious stance ahead of key economic data releases and central bank decisions.
- In the US, equities pulled back from record highs, with the S&P 500 declining 2.6% to 7,384 while the Dow Jones Industrial Average fell 0.3% to 50,867. The correction reflected profit-taking within technology and AI-related names as investors reassessed increasingly stretched positioning despite continued strength in underlying earnings expectations.
- Across Europe and Asia, markets remained under pressure. Germany's DAX declined 1.4% to 24,759 while the FTSE 100 eased 0.4% to 10,368, as renewed tariff uncertainty and rising inflation expectations weighed on sentiment. In Asia, Japan's Nikkei 225 slipped 0.5% to 66,588, while Hong Kong's Hang Seng Index fell 1.8% to 24,962 amid lingering concerns over China's growth outlook, although resilient regional manufacturing activity helped cushion deeper losses.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.54%	4.47%	▲ 6.9bps
UK 10 Yr Gilt	4.91%	4.80%	▲ 11.1bps
Germany 10 Yr Bund	3.04%	2.98%	▲ 6.1bps
Japan 10 Year Bond	2.67%	2.69%	▼ (2.2bps)

Source: Investing.com, Bloomberg, AIB AXYS Research

- Bond markets reversed part of the previous week's rally, with yields rising across most major developed economies as investors digested stronger economic data, resilient labour market indicators and renewed concerns that inflation may remain elevated for longer.
- In the US, the 10-year Treasury yield increased by 6.9 bps to 4.54%, as stronger manufacturing activity and labour market data reinforced expectations that the Federal Reserve may maintain a cautious stance toward policy easing. Investors also positioned ahead of the closely watched US payrolls and inflation releases.
- Across Europe, Germany's 10-year Bund yield rose by 6.1 bps to 3.04%, while the UK's 10-year gilt yield climbed 11.1 bps to 4.91%. The move reflected rising expectations of further policy tightening following stronger inflation readings, particularly in the Euro Area where headline inflation accelerated to 3.2% in May.
- In contrast, Japan's 10-year government bond yield declined by 2.2 bps to 2.67%, as investors sought relative safety amid the broader pullback in global risk assets and moderated expectations around the pace of further policy normalization.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.7047	0.7183	▼ (189bps)
USD/JPY	160.320	159.430	▲ 56bps
GBP/USD	1.334	1.347	▼ (97bps)
EUR/USD	1.152	1.166	▼ (123bps)
US Dollar Index	100.05	98.90	▲ 116bps

Source: Investing.com AIB AXYS Research

- The US dollar strengthened during the week, with the US Dollar Index rising by 116 bps to 100.05, supported by resilient US economic data and expectations that interest rates may remain elevated for longer than previously anticipated.
- Major currencies weakened against the dollar, with the Euro and British Pound declining by 123 bps and 97 bps respectively to 1.152 and 1.334. The moves reflected widening policy divergence expectations and increased demand for the dollar as investors positioned ahead of key US economic releases.
- The Australian dollar recorded the sharpest decline among major currencies, falling 189 bps to 0.7047 as risk appetite softened and investors reduced exposure to growth-sensitive currencies. Meanwhile, the Japanese Yen weakened further, with USD/JPY rising by 56 bps to 160.320, reflecting ongoing interest rate differentials between Japan and the United States.

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